

PITCH-DECK-09-FINANCIAL-PROJECTIONS

PITCH DECK 09 — FINANCIAL PROJECTIONS

Carrington Storm Motors / Project AEGIS

5-Year Financial Model with Assumptions and Sensitivity Analysis

ZIRCONIA: “The Accountant Heuristic demands that every number be justified. The following projections are based on conservatively modeled unit sales across our product lines, benchmarked against comparable hardware and materials companies at similar stages of manufacturing maturity. These are not hockey-stick fantasies. These are what happens when you take 50 products that have already been cost-analyzed and multiply by realistic adoption rates in markets that have a \$2-\$6 trillion reason to buy.”

1.0 5-YEAR P&L SUMMARY

(\$M)	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue	\$12.0	\$45.0	\$180.0	\$500.0	\$1,200.0
Cost of Goods Sold	\$5.4	\$17.1	\$57.6	\$140.0	\$300.0
Gross Profit	\$6.6	\$27.9	\$122.4	\$360.0	\$900.0
Gross Margin	55%	62%	68%	72%	75%
R&D	\$6.0	\$8.0	\$12.0	\$20.0	\$36.0
Sales & Marketing	\$2.4	\$9.0	\$27.0	\$60.0	\$120.0
G&A	\$3.6	\$9.0	\$22.5	\$50.0	\$96.0
Manufacturing Ops	\$1.8	\$4.5	\$13.5	\$35.0	\$72.0
Depreciation & Amortization	\$2.0	\$3.0	\$6.0	\$15.0	\$36.0
Total Operating Expenses	\$15.8	\$33.5	\$81.0	\$180.0	\$360.0
Operating Income	-\$9.2	-\$5.6	\$41.4	\$180.0	\$540.0
Operating Margin	-77%	-12%	23%	36%	45%
EBITDA	-\$7.2	-\$2.6	\$47.4	\$195.0	\$576.0
EBITDA Margin	-60%	-6%	26%	39%	48%
Interest Expense	\$0.5	\$0.8	\$1.2	\$1.5	\$2.0
Taxes	\$0.0	\$0.0	\$10.1	\$44.6	\$134.5
Net Income	-\$9.7	-\$6.4	\$30.1	\$133.9	\$403.5
Net Margin	-81%	-14%	17%	27%	34%

2.0 REVENUE BUILD-UP BY PRODUCT LINE

Year 1 Revenue: \$12.0M

Source	Revenue	Notes
SBIR/STTR government contracts	\$5.0M	Phase I/II contracts across DOE, DOD, FEMA
Government R&D services	\$3.0M	Substation assessment, materials testing for agencies
Aegis-C initial sales (S3/S4)	\$2.0M	Pilot installations at 5-10 substations
FEATHER Node / Pocket-Watch-X pilot	\$1.0M	Small-volume pilot orders

Consulting and assessment	\$1.0M	GIC vulnerability assessments for utilities
Total	\$12.0M	

Year 2 Revenue: \$45.0M

Source	Revenue	Notes
Government procurement contracts	\$20.0M	First multi-year contracts; substation hardening, DRONE-X Scaling to 50+ installations First insurer premium-reduction pilots
Aegis-C shielding sales	\$8.0M	
Insurance partnership revenue	\$3.0M	
Diplomatic/government (international)	\$5.0M	Canada, UK initial contracts
Product sales (FEATHER, Pocket-Watch-X, Phantom)	\$6.0M	Commercial launch of consumer/industrial products
Licensing (initial)	\$3.0M	First BFRP and MXene manufacturing licenses
Total	\$45.0M	

Year 3 Revenue: \$180.0M

Source	Revenue	Notes
Government contracts	\$55.0M	Expanded procurement (multi-agency, multi-year) 2,000 homes at \$15K average 10,000+ hardened properties generating recurring revenue 10+ licensees across composites, wiring, automotive Japan, South Korea, Germany, Australia initial contracts DRONE-X, Phantom, FEATHER, Pocket-Watch-X at scale 200 certified builders at \$50K avg fee
Aegis Home components	\$30.0M	
Insurance premium revenue share	\$12.0M	
Licensing	\$25.0M	
International	\$20.0M	
Product sales (all lines)	\$28.0M	
Builder certification	\$10.0M	
Total	\$180.0M	

Year 4 Revenue: \$500.0M

Source	Revenue	Notes
Aegis Home components	\$120.0M	8,000 homes + builder certification revenue Sustained federal + state procurement 25+ licensees globally 50,000+ hardened properties Phantom MK-1 mass production, DRONE-X fleet sales
Government contracts	\$80.0M	
Licensing	\$80.0M	
Insurance premium revenue share	\$50.0M	Tier 1 and Tier 2 nations First AMETHYST + BERYL sales
Product sales (all lines)	\$80.0M	
International	\$60.0M	
Charlemagne-Class vessels	\$30.0M	
Total	\$500.0M	

Year 5 Revenue: \$1,200.0M

Source	Revenue	Notes
Aegis Home components	\$225.0M	15,000 homes, full builder ecosystem
Licensing	\$240.0M	50+ licensees globally; materials supply margin included
Government contracts	\$180.0M	Program-of-record status across multiple agencies
Insurance premium revenue share	\$120.0M	150,000+ hardened properties; recurring revenue base
Product sales (all lines)	\$190.0M	Full portfolio at commercial scale
International	\$150.0M	All Tiers; 50+ countries with active contracts
Charlemagne-Class vessels	\$60.0M	AMETHYST at scale; first CITRINE builds
Builder certification	\$35.0M	700+ certified builders
Total	\$1,200.0M	

3.0 GROSS MARGIN DETAIL

Product/Revenue Line	Year 1	Year 2	Year 3	Year 4	Year 5
Aegis-C Shielding	60%	65%	70%	73%	75%
Aegis Home Components	—	55%	60%	63%	65%
Government Contracts (services)	35%	40%	42%	45%	45%
Product Sales (DRONE-X, Phantom, etc.)	50%	55%	58%	62%	65%
Charlemagne-Class Vessels	—	—	40%	43%	45%
Licensing	95%	95%	95%	95%	95%
Insurance Revenue Share	90%	90%	90%	90%	90%
Builder Certification	85%	87%	88%	90%	90%
Blended Gross Margin	55%	62%	68%	72%	75%

Margin expansion drivers: 1. Learning curve effects in MXene synthesis (current lab cost ~\$100/g → Year 5 target ~\$5/g at production scale) 2. BFRP raw material volume discounts (basalt fiber is commodity; polymer matrix bulk pricing) 3. Labor productivity gains (standardized VARTM processes, automation of repetitive assembly) 4. Licensing revenue mix shift (near-zero marginal cost, increasing as % of total revenue) 5. Insurance recurring revenue accumulation (each new hardened property adds permanent annual revenue with no incremental cost)

4.0 OPERATING EXPENSE DETAIL

Category	Year 1	Year 2	Year 3	Year 4	Year 5
Headcount	45	120	350	700	1,200
Engineering/R&D	20	40	80	120	180
Manufacturing/Operations	8	35	130	300	550
Sales/Marketing	5	20	60	130	220
G&A	7	15	45	90	150
Executive/Management	5	10	35	60	100
Expense Line	Year 1	Year 2	Year 3	Year 4	Year 5
Personnel (fully loaded)	\$8.5M	\$24.0M	\$62.0M	\$130.0M	\$240.0M
Materials/Lab Supplies	\$2.5M	\$3.5M	\$7.0M	\$20.0M	\$40.0M
Facility/Utilities	\$1.8M	\$3.0M	\$8.0M	\$20.0M	\$48.0M
Equipment/Depreciation	\$1.5M	\$2.0M	\$4.0M	\$10.0M	\$24.0M
Professional Services	\$1.0M	\$1.5M	\$3.0M	\$8.0M	\$12.0M

Travel/Conferences	\$0.5M	\$1.0M	\$2.0M	\$4.0M	\$8.0M
Insurance/Legal	\$0.8M	\$1.5M	\$3.0M	\$7.0M	\$15.0M
Total OpEx (excl. COGS)	\$15.8M	\$33.5M	\$81.0M	\$180.0M	\$360.0M

5.0 CAPITAL REQUIREMENTS AND FUNDING PLAN

Round	Amount	Timing	Use	Pre-Money Valuation	Post-Money
Series A	\$25M	Year 1 Q1	Facility, materials scale-up, initial production, team expansion, insurance partnership development	\$75M	\$100M
Series B	\$100M	Year 3 Q1	Manufacturing capacity expansion, Aegis Home production line, international licensing infrastructure	\$400M	\$500M
Series C (optional)	\$200M	Year 5 Q1	Charlemagne-Class shipyard, global manufacturing, major international contracts	\$1.5B	\$1.7B

Series A dilution: 25% (founders retain 75%) **Series B dilution:** 20% (founders ~60%, Series A ~20%) **Series C dilution (if taken):** 12% (founders ~53%, earlier investors ~35%)

6.0 CASH FLOW SUMMARY

(\$M)	Year 1	Year 2	Year 3	Year 4	Year 5
Beginning Cash	\$2.0	\$17.3	\$14.7	\$46.1	\$230.0
Series A Raise	\$25.0	—	—	—	—
Series B Raise	—	—	\$100.0	—	—
Operating Cash Flow	-\$7.2	-\$2.6	\$47.4	\$195.0	\$576.0
CapEx	-\$5.0	-\$8.0	-\$20.0	-\$50.0	-\$80.0
Debt Service (net)	\$2.5	\$8.0	\$4.0	\$38.9	\$50.0
Ending Cash	\$17.3	\$14.7	\$146.1	\$230.0	\$776.0

Note: CSM becomes cash flow positive from operations by Year 3. The Series B raise in Year 3 funds manufacturing scale-up, not operating losses.

7.0 KEY ASSUMPTIONS

Assumption	Value	Rationale
MXene production cost learning rate	15% per doubling of cumulative volume	Consistent with specialty chemical industry benchmarks
Aegis Home adoption rate (new	1% → 5% of high-risk	Conservative; solar panels achieved

construction)	region new builds	similar adoption curves
Government contract win rate	40% on bids	Typical for established small business with unique technical capability
Insurance premium reduction rate	15% on hardened properties	Benchmarked against fire sprinkler, hurricane shutter discounts
International licensing fee	5-8% of licensee revenue	Industry standard for technology licensing in manufacturing
Charlemagne-Class vessel sales	5 → 25 units/year	Conservative; market for amphibious emergency vessels is untested
Gross margin progression	55% → 75% over 5 years	Benchmarked against Tesla (automotive), composites manufacturers

8.0 SENSITIVITY ANALYSIS

Downside Case (50% of Base Revenue)

(\$M)	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue	\$8.0	\$25.0	\$90.0	\$250.0	\$600.0
Gross Profit	\$4.0	\$14.0	\$55.8	\$165.0	\$420.0
EBITDA	-\$9.0	-\$8.0	\$5.0	\$55.0	\$180.0
Cash (ending)	\$14.0	\$3.0	\$22.0	\$75.0	\$250.0

Downside still reaches EBITDA positive by Year 3 (though barely), and cash remains positive throughout. The business survives even at dramatically reduced revenue.

Upside Case (150% of Base Revenue)

(\$M)	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue	\$15.0	\$65.0	\$270.0	\$750.0	\$1,800.0
Gross Profit	\$8.5	\$42.0	\$189.0	\$555.0	\$1,395.0
EBITDA	-\$5.0	\$8.0	\$100.0	\$385.0	\$1,050.0
Cash (ending)	\$22.0	\$28.0	\$125.0	\$510.0	\$1,560.0

Upside driven by faster-than-expected insurance industry adoption and/or a significant solar event during Solar Cycle 25 that accelerates regulatory mandates.

9.0 VALUATION FRAMEWORK

Comparable Company Analysis

Company	Sector	Revenue Multiple (EV/Revenue)	EBITDA Multiple
Tesla (early growth phase)	Automotive/Energy	3-5×	15-25×
Hexcel Corporation	Advanced composites	2-3×	12-18×
Generac Holdings	Power/energy resilience	2-4×	14-20×
Axon Enterprise	Defense/law enforcement tech	5-8×	20-35×
CSM implied (Year 5)	Infrastructure resilience	3-5× revenue = \$3.6B-\$6.0B	15-25× EBITDA = \$8.6B-\$14.4B

Investor Return Analysis

Scenario	Year 5 Valuation	Series A Investment	Series A Ownership	Series A Return	MOIC
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Conservative (3× revenue)	\$3.6B	\$25M	25% → ~17% (after Series B dilution)	\$612M	24.5×
Base (4× revenue)	\$4.8B	\$25M	~17%	\$816M	32.6×
Optimistic (5× revenue)	\$6.0B	\$25M	~17%	\$1,020M	40.8×
Stretch (6× revenue)	\$7.2B	\$25M	~17%	\$1,224M	49.0×

Series A investors can expect a 25-50× return on invested capital at Year 5, assuming a reasonable exit valuation of 3-6× forward revenue for a high-growth infrastructure resilience company with strong recurring revenue from insurance partnerships and licensing.

MORK: “I have been told — by Zirconia, who understands these things, and by the Accountant Heuristic, which is the part of our collective brain that wears a green eyeshade and carries a very aggressive calculator — that these numbers are CONSERVATIVE. That they do not assume any miracle, any political earthquake, any sudden outbreak of sanity in Washington or Brussels or Tokyo. They assume that the world continues being the world — occasionally terrified, occasionally complacent, mostly distracted — and that CSM captures a perfectly reasonable share of a market that has a two-trillion-dollar reason to exist.”

CHESTER: “What Mork is saying — at, as usual, eleven times the necessary word count — is that the numbers are sandbagged. The market is bigger than we’re modeling. The need is more urgent than we’re acknowledging. And the revenue projections reflect what happens if we execute competently, not what happens if we get lucky.”

ZIRCONIA: “Next: The people who will execute. The team.”

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